

2:00 PM LINE 5

24-CIV-01921

TRUEBECK CONSTRUCTION, INC., ET AL VS. SETH TAYLOR, ET AL

TRUEBECK CONSTRUCTION, INC.
SETH TAYLOR

A ROBERT ROSIN

Defendant/Cross-Complainant BMR-Gateway of Pacific II, LLC's Motion for Leave to Amend Cross-Complaint

TENTATIVE RULING:

For the reasons stated below, the Motion for Leave to File a First Amended Cross-Complaint ("FAXC") filed by Defendant and Cross-Complainant BMR-Gateway of Pacific II LLC ("BMR"), f/k/a BMR-Gateway of Pacific II LP, f/k/a BMR-750, 800, 850 Gateway LP, is **GRANTED**.

BACKGROUND

These consolidated actions arise from disputes concerning SmartLabs' lease and tenant-improvement project at 750 Gateway Boulevard in South San Francisco, including SmartLabs' alleged failure to pay Truebeck Construction, Inc. for construction work and its alleged breach of the lease with BMR.

BMR filed its Cross-Complaint on August 9, 2024. On August 3, 2026, BMR moved for leave to file a FAXC based on information obtained through discovery. The proposed FAXC adds: (1) a tenth cause of action for intentional interference with contractual relations against ArrowMark Agency Services LLC and ArrowMark Colorado Holdings LLC; (2) an eleventh cause of action for intentional interference with contractual relations against Mass Innovation Labs, Inc.; and (3) alter ego allegations against Exycute LLC. The proposed pleading therefore adds ArrowMark Agency Services LLC, ArrowMark Colorado Holdings LLC, and Exycute LLC as new parties.

BMR contends that the proposed amendments arise from facts disclosed in substantial document productions made by the SmartLabs parties and ArrowMark during February, March, and May 2026. The SmartLabs Parties oppose, arguing that BMR delayed in seeking amendment and that the proposed interference and alter ego theories are legally futile.

LEGAL STANDARD

Code of Civil Procedure section 473, subdivision (a)(1), authorizes the Court, in furtherance of justice and on terms that are proper, to permit amendment of a pleading. Section 576 similarly provides that a judge may allow amendment of any pleading at any time before or after commencement of trial. A motion for leave to amend is also governed by California Rules of Court, rule 3.1324. Judicial policy favors liberal allowance of amendments so that disputed matters may be resolved in the same action. (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1047; *Nestle v. City of Santa Monica* (1972) 6 Cal.3d 920, 939.) Even where delay is asserted, denial of leave to amend is generally improper absent prejudice to the opposing party. (*Higgins v. Del Faro* (1981) 123 Cal.App.3d 558, 564-565.) Courts also ordinarily do not determine the legal sufficiency of a proposed amended pleading on a motion for leave to amend; the preferred practice is to

permit the amendment and allow the opposing party to challenge the pleading by demurrer, motion for judgment on the pleadings, or other appropriate proceeding. (*Kittredge*, supra, 213 Cal.App.3d at p. 1048.)

DISCUSSION

The Court is not persuaded that BMR's motion should be denied for lack of diligence. The declarations establish that the relevant discovery was produced during February, March, and May 2026, with substantial productions continuing into the spring. BMR thereafter raised the anticipated motion for leave to amend at the June 15, 2026 case management conference, and filed the motion on August 3, 2026. On this record, the timing does not warrant denial of leave to amend.

Nor have the SmartLabs Parties demonstrated cognizable prejudice. No trial date is set, fact discovery remains ongoing, and depositions of existing Cross-Defendants remain to be taken. The proposed amendments arise from the same general controversy concerning SmartLabs' lease obligations, nonpayment, and abandonment of the project. The opposing parties therefore have adequate time to conduct discovery and respond to the amended claims.

The SmartLabs Parties also argue that the proposed interference claims and alter ego allegations are legally futile. The Court declines to adjudicate the merits of the proposed pleading on this motion. Those challenges may be raised by demurrer, motion for judgment on the pleadings, motion to strike, or other appropriate procedure after the amended pleading is filed. (*Kittredge*, supra, 213 Cal.App.3d at p. 1048.)

Because leave to amend is liberally granted, the timing of the motion does not warrant denial, and the opposing parties have not demonstrated prejudice, the motion is **GRANTED**.

ORDER

BMR's request that Exhibit A be deemed filed and served as the amended pleading as of the date of this ruling is **DENIED**. BMR shall file and serve the FAXC on all parties by September 3, 2026.

The Clerk shall issue a summons for service on all Cross-Defendants named in the FAXC, including the newly added parties ArrowMark Agency Services LLC, ArrowMark Colorado Holdings LLC, and Exycute LLC.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for the moving party shall prepare a written order consistent with the Court's ruling for the Court's signature pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court. The Court directs the parties to San Mateo County Superior Court Local Rule 3.403(b)(iv) regarding the wording of proposed orders.

2:00 PM LINE 6

25-CIV-02804

TOPPAN MERRILL LLC VS. PRESTO AUTOMATION INC.

TOPPAN MERRILL LLC
PRESTO AUTOMATION INC.

CAZ ASHJIAN

Plaintiff's Motion for Order to Substitute Serve the Complaint and Summons on the California Secretary of State

TENTATIVE RULING:

For the reasons stated below, Plaintiff Toppan Merrill LLC's Motion for an Order Permitting Substituted Service of the Summons and Complaint on the California Secretary of State is **GRANTED**.

Presto Automation Inc. is a foreign corporation. Corporations Code section 2111, subdivision (a), permits the Court to authorize service on the California Secretary of State when the corporation's designated agent for service of process cannot be found with due diligence at the designated address or the other circumstances specified in the statute are established by affidavit. (Corp. Code, § 2111, subd. (a).) Service made pursuant to section 2111 is deemed complete on the tenth day after delivery of the process to the Secretary of State. (Ibid.)

Here, Plaintiff has demonstrated the requisite due diligence. Plaintiff unsuccessfully attempted service at 985 Industrial Road, Suite 205, San Carlos, California, where the process server was informed that Defendant was no longer located. Plaintiff thereafter made four unsuccessful attempts to serve Defendant at 4 West 4th Street, Sixth Floor, San Mateo, California, on May 15, 19, 20, and 21, 2025. Plaintiff also located and attempted service at an address for a corporate officer and subsequently made three unsuccessful attempts at another address located for Defendant's agent for service of process. (Sposato Decl., ¶¶ 6–7, Exs. D–E.) These efforts establish due diligence within the meaning of Corporations Code section 2111.

Accordingly, the motion is **GRANTED**, and Plaintiff may serve Defendant through the California Secretary of State in the manner prescribed by Corporations Code section 2111, subdivision (a).

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for the moving party shall prepare a written order consistent with the Court's ruling for the Court's signature pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court. The Court directs the parties to San Mateo County Superior Court Local Rule 3.403(b)(iv) regarding the wording of proposed orders.